SAQR AL WADI CONTRACTING CO. (LIMITED LIABILITY COMPANY)
Riyadh, Kingdom of Saudi Arabia · CR 1010487223

FINANCIAL STATEMENTS AND INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR ENDED 31 DECEMBER 2024

Al Rimal & Partners — Chartered Accountants, Riyadh

AL RIMAL & PARTNERS
Chartered Accountants · Licence No. 512

Al Malaz Tower, 9th Floor, Salah Al Din Street
P.O. Box 22741, Riyadh 11416, Kingdom of Saudi Arabia
Tel +966 11 478 2200 · audit@alrimal-cpa.com.sa

INDEPENDENT AUDITOR'S REPORT
To the shareholders of Saqr Al Wadi Contracting Co. (Limited Liability Company)

Opinion

We have audited the financial statements of Saqr Al Wadi Contracting Co. (Limited Liability Company) (the Company), which comprise the statement of financial position as at 31 December 2024, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements. In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 December 2024, and its financial performance and its cash flows for the year then ended in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities (IFRS for SMEs) endorsed in the Kingdom of Saudi Arabia.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing endorsed in the Kingdom of Saudi Arabia. We are independent of the Company in accordance with the code of professional conduct and ethics endorsed in the Kingdom. We believe the audit evidence we obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of management

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRS for SMEs and the Regulations for Companies, and for such internal control as management determines necessary.

For Al Rimal & Partners
Abdulaziz M. Al Rimal, Certified Public Accountant, Licence No. 512
Riyadh, 22 April 2025

STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2024

	Note	31 Dec 2024 SAR	31 Dec 2023 SAR
ASSETS			
Non-current assets			
Property, plant and equipment	5	38,692,450	35,577,000
Total non-current assets		38,692,450	35,577,000
Current assets			
Inventories		4,203,800	3,640,000
Trade receivables, net	6	58,318,720	47,215,400
Contract assets	7	12,406,330	10,120,000
Retentions receivable	7	9,594,260	8,010,500
Cash and cash equivalents		6,084,890	5,212,300
Total current assets		90,608,000	74,198,200
TOTAL ASSETS		129,300,450	109,775,200
EQUITY AND LIABILITIES			
Equity			
Share capital	8	25,000,000	10,000,000
Statutory reserve		3,000,000	3,000,000
Retained earnings		5,012,440	10,695,435
Total equity		33,012,440	23,695,435
Non-current liabilities			
Long-term borrowings	9	10,600,000	14,800,000
Employees' end-of-service benefits		3,775,710	3,039,765
Total non-current liabilities		14,375,710	17,839,765
Current liabilities			
Trade payables	10	29,812,300	25,140,000
Short-term borrowings	9	41,600,000	33,800,000
Current portion of long-term borrowings	9	4,200,000	3,900,000
Accruals and other payables		5,394,700	4,619,400
Zakat payable	11	905,300	780,600
Total current liabilities		81,912,300	68,240,000
Total liabilities		96,288,010	86,079,765
TOTAL EQUITY AND LIABILITIES		129,300,450	109,775,200

The financial statements were approved by management on 20 April 2025 and signed on its behalf by:

Khalid Saad Al Harbi
Chairman and General Manager

Tariq Mansour
Finance Manager

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2024

	Note	2024 SAR	2023 SAR
Revenue from contracts with customers	12	182,406,115	158,230,640
Cost of revenue	13	(156,082,940)	(135,870,120)
Gross profit		26,323,175	22,360,520
General and administrative expenses	14	(9,688,410)	(8,640,300)
Operating profit		16,634,765	13,720,220
Finance costs	9	(3,912,460)	(3,105,880)
Profit before zakat		12,722,305	10,614,340
Zakat	11	(905,300)	(780,600)
Net profit for the year		11,817,005	9,833,740
Other comprehensive income		-	-
Total comprehensive income for the year		11,817,005	9,833,740

Depreciation included in cost of revenue and general and administrative expenses: SAR 4,985,600 (2023: SAR 4,410,000).

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2024

SAR	Share capital	Statutory reserve	Retained earnings	Total
Balance at 1 January 2023	10,000,000	3,000,000	1,861,695	14,861,695
Net profit for the year	-	-	9,833,740	9,833,740
Dividends declared and paid	-	-	(1,000,000)	(1,000,000)
Balance at 31 December 2023	10,000,000	3,000,000	10,695,435	23,695,435
Balance at 1 January 2024	10,000,000	3,000,000	10,695,435	23,695,435
Net profit for the year	-	-	11,817,005	11,817,005
Transfer to share capital (note 8)	15,000,000	-	(15,000,000)	-
Dividends declared and paid	-	-	(2,500,000)	(2,500,000)
Balance at 31 December 2024	25,000,000	3,000,000	5,012,440	33,012,440

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2024

	2024 SAR	2023 SAR
Operating activities		
Profit before zakat	12,722,305	10,614,340
Adjustments: depreciation	4,985,600	4,410,000
Adjustments: finance costs	3,912,460	3,105,880
Adjustments: end-of-service benefits, net	735,945	685,860
Changes in working capital:		
Inventories	(563,800)	(430,000)
Trade receivables	(11,103,320)	(7,335,400)
Contract assets	(2,286,330)	(1,670,000)
Retentions receivable	(1,583,760)	(1,070,500)
Trade payables	4,672,300	3,180,000
Accruals and other payables	775,300	599,400
Zakat paid	(780,600)	(690,000)
Net cash from / (used in) operating activities	11,486,100	11,399,580
Investing activities		
Purchase of property, plant and equipment	(8,101,050)	(6,887,000)
Net cash used in investing activities	(8,101,050)	(6,887,000)
Financing activities		
Net movement in short-term borrowings	7,800,000	4,300,000
Net movement in long-term borrowings	(3,900,000)	(3,600,000)
Finance costs paid	(3,912,460)	(3,105,880)
Dividends paid	(2,500,000)	(1,000,000)
Net cash from / (used in) financing activities	(2,512,460)	(3,405,880)
Net change in cash and cash equivalents	872,590	1,106,700
Cash and cash equivalents at 1 January	5,212,300	4,105,600
Cash and cash equivalents at 31 December	6,084,890	5,212,300

NOTES TO THE FINANCIAL STATEMENTS (SELECTED)

1. Organisation and activities. The Company is a limited liability company registered in Riyadh under Commercial Registration 1010487223 dated 20 February 2011. Its activities are general construction of non-residential buildings, civil and infrastructure works and site preparation.

2. Basis of preparation. The financial statements are prepared under the historical cost convention in accordance with IFRS for SMEs endorsed in the Kingdom of Saudi Arabia and are presented in Saudi Riyals (SAR).

3. Revenue recognition. Contract revenue is recognised over time using the input method based on costs incurred relative to total estimated contract costs.

5. Property, plant and equipment. Mainly heavy construction equipment and vehicles. Additions during the year SAR 8,101,050; depreciation SAR 4,985,600.

6. Trade receivables. Gross trade receivables SAR 59,368,720 less expected credit loss allowance SAR 1,050,000. Receivables overdue more than 180 days amount to SAR 3,940,000.

7. Contract assets and retentions. Contract assets represent work performed and not yet certified by customers. Retentions are released on completion and expiry of the defects liability period, typically 12 months.

8. Share capital. Share capital of SAR 25,000,000 consists of 2,500,000 shares of SAR 10 each, held by Khalid Saad Al Harbi (60%), Faisal Saad Al Harbi (25%) and Nasser Saad Al Harbi (15%). In 2024 the shareholders resolved to increase share capital from SAR 10,000,000 to SAR 25,000,000 by transfer from retained earnings.

9. Borrowings. Short-term borrowings comprise Murabaha working capital facilities from local banks at SAIBOR plus 2.00% to 2.75%. Long-term borrowings are equipment Murabaha facilities repayable in quarterly instalments to 2029, secured by the financed equipment. Total borrowings at 31 December 2024: SAR 56,400,000 (2023: SAR 52,500,000). Facilities with one bank include covenants on debt to equity and debt service coverage.

10. Related party transactions. Purchases of ready-mix concrete from Al Wadi Ready Mix LLC, an entity under common ownership, amounted to SAR 8,960,000; balance payable at year end SAR 2,410,000.

11. Zakat. The Company has filed zakat returns up to the prior year and obtained the zakat certificate. Zakat is charged on the adjusted zakat base.

15. Commitments and contingencies. Letters of guarantee issued by banks on behalf of the Company outstanding at year end: SAR 21,900,000 (performance, advance payment and bid bonds).

16. Subsequent events. There were no significant events after the reporting date requiring adjustment or disclosure.